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Defense of Usury: An Economic Perspective on Interest Rate Legislation

In 1787, Jeremy Bentham published a lengthy pamphlet entitled, "Defense of Usury: showing the Impolicy of the Present Legal Restraints on the Terms of pecuniary bargains he was concerned with loans between individuals or business enterprises. The legal restraints were limits on interest rates paid or received. Usury was and is the popular term for charging interest rates in excess of legal limits.

Bentham makes an overwhelmingly persuasive case for the proposition he sets forth at the beginning of the pamphlet, "viz. that no man of ripe years and sound mind, acting freely, and with his eyes open, ought to be hindered, with a view of his advantage from making such bargain, in the way of obtaining money, as he thinks fit; and nor (what is necessary consequence) nobody is hindered from supplying him upon any terms he thinks proper to accede to".

During the nearly two centuries since Bentham's pamphlet was published his arguments have been widely accepted by economists and as widely neglected by politicians. I know of no economist of any standing from that time to this who has favored a legal limit on the rate of interest that borrowers could pay or lenders receive though there must have been some. I know of no country that does not limit by law the rates of interest and I doubt that there are any. As Bentham wrote, "in great political questions wide indeed is the distance between conviction and practice."

Bentham's explanation of the "grounds of the prejudices against usury" is as valid today as when he wrote: "The business of a money lender has no where, nor any time, been a popular one. Those who have the resolution to sacrifice the present to the future, are natural objects of envy to those who have sacrificed the future to the present. The children who don't have their cake to eat are the natural enemies of the children who have theirs. While the money is hoped for, and for a short time after it has been received, he who lends it is a friend and benefactor: by the time the money is spent, and the evil hour of reckoning has come, the benefactor is found to have changed his nature, and to have put on the image of the tyrant and the oppressor. It is an oppression for a man to reclaim his money: it is none to keep it from him."

Bentham's explanation of the "mischief of the anti-usurious laws" is also as valid today as when he wrote that these laws preclude "many people altogether, from getting the money they stand in need of, to answer their respective exigencies."

For still others, they render "he terms so much the worse-While, aut of loving kindness, or whatsoever other motive, the law precludes the man from borrowing, upon terms which it deems too disadvantageous, it does not preclude him from selling, upon any terms, howsoever disadvantageous." His conclusion: "The sole tendency of the law is to heap distress upon distress."

Developments since Bentham's days have increased the mischief done by usury legislation. Economic progress has provided the ordinary man with the means to save. The spread of banks, savings-and-loan associations, and the like has given the ordinary man the facilities for saving. For the first time in history,

the working class may well be net lenders rather than net borrowers. They are also the ones who have fewest alternatives, who find it hardest to avoid legal regulations, and who are therefore hardest hit by them.

Under the spur of (Congressman) Wright Patman and his ilk, the Federal Reserve (1970) now limits the interest rate that commercial banks may pay to a maximum of 4 percent for small savers but to 7 percent for deposits of \$100,000 or more. And the deposits of small savers have been relatively stable or growing. while those of large depositors have been declining sharply because they have still better alternatives.

That is the way the self-labeled defenders of the "people" look after their interests-by keeping them from receiving the interests they are entitled to. Along with Bentham, "I would wish to learn why the legislator should be more anxious to limit the rate of interest one way, than the other? Why he should make it his business to prevent their getting more than a certain price for the use of it than to prevent their getting less? -Let any one that can, find an answer to these questions: it is more than I can do."

Main Points by Paragraph

1. Bentham's Proposition Against Usury Laws

Bentham argued that adults of sound mind should have the freedom to negotiate terms of borrowing and lending without legal restrictions, as these laws unfairly hinder mutual agreements.

2. Economists vs. Politicians on Usury Laws

Despite economists universally opposing interest rate caps, politicians continue to enforce them due to prevailing societal prejudices and resistance to change.

3. Prejudices Against Moneylenders

Moneylenders have historically been unpopular, seen first as benefactors but later as oppressors when debts come due, highlighting societal envy and misunderstanding.

4. Negative Effects of Anti-Usury Laws

Usury laws deny many people access to funds during financial emergencies and worsen loan terms for others, exacerbating economic distress.

5. Changes in Economic Dynamics

Economic progress has empowered working-class people to save, making them potential net lenders. However, restrictive interest rate policies disproportionately harm them by limiting returns on their savings.

6. Modern Impacts of Interest Rate Caps

Legislation, such as limits imposed by the Federal Reserve in 1970, benefits large depositors while disadvantaging small savers by restricting their interest earnings, contrary to the laws' purported intent.

7. Bentham's Critique of Legislator

Bentham questioned why legislators limit high interest rates but ignore scenarios where individuals are forced to accept low returns, criticizing the inconsistent rationale behind such laws.

Summary of the Article

Jeremy Bentham, in his pamphlet *Defense of Usury*, argued against laws that limit interest rates on loans, stating they harm borrowers and lenders by restricting financial freedom. He explained that society often views moneylenders negatively, first as helpful but later as oppressive. Bentham criticized these laws for worsening financial distress, as they prevent people from getting funds on flexible terms. Over time, economic progress has made the working class net savers, but interest rate caps hurt their savings returns. He questioned why lawmakers focus on limiting high interest rates but ignore cases where low returns exploit people.

Meanings of Difficult Words

1. Usury – Charging excessively high interest rates on loans, often beyond legal limits.
2. Implication – The possible negative effect or consequence of an action.
3. Exigency – An urgent need or demand.
4. Preclude – To prevent something from happening or make it impossible.
5. Benefactor – Someone who provides help, especially financial assistance.
6. Oppressor – A person or system that keeps others in hardship through unjust control.
7. Conviction – A firmly held belief or opinion.
8. Ilk – A type or kind, usually used in a critical sense.
9. Mischief – Harm or trouble caused by a person or action or rules.

New Words and Phrases

1. Sacrifice the present to the future – Choosing to endure current hardships for long-term benefits.
 2. Wide indeed is the distance between conviction and practice – A gap often exists between beliefs and actions.
 3. Natural objects of envy – Things or people that others naturally feel jealous of.
 4. Heap distress upon distress – To make an already difficult situation worse.
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The Impracticality of Distributing Wealth by Merit

The second plan to have to examine is that of giving to each person what she deserves. Many people, especially those who are comfortably off, think this is what happens at present: that the industrious and sober and thrifty are never in want, and that poverty is due to idleness, improvidence, drinking, betting, dishonesty, and bad character generally. They can point to the fact that a labourer whose character is bad finds it more difficult to get employment than one whose character is good, that a farmer or country gentleman who gambles and bets heavily, and mortgages his land to live wastefully and extravagantly, is soon reduced to poverty, and that a man of business who is lazy and does not attend to it becomes bankrupt. But this proves nothing that you cannot eat your cake and have it too; it does not prove that your share of the cake was a fair one. It shows that certain vices make us rich. People who are hard, grasping, selfish, cruel, and always ready to take advantage of their neighbours, become very rich if they are clever enough not to overreach themselves. On the other hand, people who are generous, public spirited, friendly, and not always thinking of the main chance, stay poor when they are born poor unless they have extraordinary talents. Also as things are today, some are born poor and others are born with silver spoons in their mouths: that is to say, they are divided into rich and poor before they are old enough to have any character at all. The notion that our present system distributes wealth according to merit, even roughly, may be dismissed at once as ridiculous. Everyone can see that it generally has the contrary effect; it makes a few idle people very rich, and a great many hardworking people very poor.

On this, intelligent Lady, your first thought may be that if wealth is not distributed according to merit, it ought to be; and that we should at once set to work to alter our laws so that in future the good people shall be rich in proportion to their goodness and the bad people poor in proportion to their badness. There are several objections to this, but the very first one settles the question for good and all. It is, that the proposal is impossible and impractical. How are you going to measure anyone's merit in money? Choose any pair of human beings you like, male or female, and see whether you can decide how much each of them should have on her or his merits. If you live in the country, take the village blacksmith and the village clergyman, or the village washerwoman and the village schoolmistress, to begin with. At present, the clergyman often gets less pay than the blacksmith: it is only in some villages he gets more. But never mind what they get at present: you are trying whether you can set up a new order of things in which each will get what he deserves. You need not fix a sum of money for them: all you have to do is to settle the proportion between them. Is the blacksmith to have as much as the clergyman? Or twice as much as the clergyman? Or half as much as the clergyman? Or how much more or less?

It is no use saying that one ought to have more the other less, you must be prepared to say exactly how much more. Well, think it out. The clergyman has had a college education; but that is not any merit on his part: he owns it to his father, so you cannot allow him anything for that. But through it he is able to read the New Testament in Greek: so that he can do something the blacksmith cannot do. On the other hand, the blacksmith can make a horse-shoe, which the parson cannot. How many verses of the Greek Testament are worth one horse-shoe? You have only to ask the silly question to see that nobody can answer it.

Since measuring their merits is no use, why not try to measure their faults? Suppose the blacksmith swears a good deal, and gets drunk occasionally! Everybody in the village knows this; but the parson has to keep his faults to himself. His wife knows them; but she will not tell you what they are if she knows that you intend to cut off some of his pay for them. You know that as he is only a mortal human being, he must have some faults; but you cannot find them out. However, suppose he has some faults he is a snob; that he cares more for sport and fashionable society than for religion! Does that make him as bad as the blacksmith, or twice as bad, or twice and quarter as bad, or only half as bad? In other words, if the blacksmith is to have a shilling, is the parson to have six pence, or five pence and one-third, or two shillings? Clearly these are fools' questions: the moment they bring us down from moral generalities to business particulars it becomes plain to every sensible person that no relation can be established between human qualities, good or bad, and sums of money, large or small. It may seem scandalous that a prize-fighter, for hitting another prize-fighter so hard at Wembley that he fell down and could not rise within ten seconds, received the same sum that was paid to the Archbishop of Canterbury for acting as Primate of the Church of England for nine months, but none of those who cry out against the scandal can express any better in money the difference between the two. Not one of the persons who think that the prize-fighter should get less than the Archbishop can say how much less. What the prize fighter got for his six or seven months' boxing would pay a judge's salary for two years; and we all agree that nothing could be more ridiculous, and that any system of distributing wealth which leads to such absurdities must be wrong. But to suppose that it could be changed by any possible calculation that an ounce of archbishop of three ounces of judge is worth a pound of prize-fighter would be sillier still. You can find out how many candles are worth a pound of butter in the market on any particular day; but when you try to estimate the worth of human souls the utmost you can say is that they are all of equal value before the throne of God. And that will not help you in the least to settle how much money they should have. You must simply give it up, and admit that distributing money according to merit is beyond mortal measurement and judgement.

Main Points by Paragraph**1. Perceived Justice in Wealth Distribution**

Many believe wealth distribution is fair, rewarding industrious and moral individuals while punishing idleness and vices. However, this assumption is flawed as societal systems often reward the unscrupulous and penalize the virtuous.

2. Wealth and Character: No Correlation

Wealth is not always proportional to character or merit. Good traits like generosity and public spirit often keep people poor, while selfishness and cunning can lead to wealth.

3. The Flaws in Measuring Merit by Wealth

Attempting to link merit to monetary rewards is impractical. For example, it's impossible to compare the value of a blacksmith's skill with a clergyman's education in calculable terms.

4. Impossibility of Measuring Faults in Wealth Terms

Judging faults monetarily is equally futile, as subjective assessments and concealed flaws make accurate evaluations impossible.

5. Absurdity in Wealth Disparities

Extreme disparities, such as a prize-fighter earning as much as an archbishop, highlight the absurdity of the current system. However, assigning precise monetary value to different roles is equally illogical.

6. Inherent Limitations of Human Judgment

Ultimately, human qualities and contributions cannot be quantified in monetary terms, making the idea of distributing wealth by merit impossible to implement.

Summary of the Article

The passage discusses why the idea of distributing wealth based on a person's merits is flawed and impractical. It explains that our current system often rewards selfish and cunning people, while generous and hardworking individuals remain poor. Attempts to measure merit or faults in monetary terms fail because human qualities cannot be accurately compared or quantified. Furthermore, society often assigns absurdly disproportionate rewards to different roles, highlighting the unfairness of the system. In the end, it concludes that distributing wealth fairly based on merit is beyond human judgment and calculation.

Meanings of Difficult Words

1. Industrious – Hardworking and diligent.
2. Improvidence – Lack of foresight or care for the future.
3. Extravagantly – Spending money in an excessive or wasteful way.
4. Overreach – To act beyond one's abilities or resources, often leading to failure.
5. Snob – A person who feels superior to others, especially in social or cultural matters.
6. Primate – The highest-ranking bishop in a church.
7. Scandalous – Shocking or improper behavior that causes public outrage
8. Calculable – Something measurable or capable of being calculated.

New Words and Phrases

1. "Silver spoon in their mouths" – A phrase meaning born into wealth and privilege.
 2. "You cannot eat your cake and have it too" – A proverb meaning you cannot enjoy two mutually exclusive benefits at the same time.
 3. "Public-spirited" – Acting in the interest of the community or society.
 4. "Main chance" – A term referring to self-interest or the primary opportunity for personal gain.
 5. "Fools' questions" – Questions that are inherently illogical or impossible to answer.
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*Great progress! Always remember,
consistency is the key.*

Steps for Using a PDF to Enhance Comprehension Skills:

1. Read Articles

- Begin by reading the article carefully to get a general understanding.

2. Summarize Each Paragraph

- After reading each paragraph, write a brief summary in your own words.
- Focus on what the author wants to convey.

3. Compare summary with the pdf summary

- Reflect on your summary and compare it with the overall message of the article.
- Identify any differences in interpretation.

4. Write Without Fear of Grammar

- Focus on expressing your understanding of the text.
- Don't worry about grammar or structure initially—prioritize clarity.

5. Learn New Words

- Note down unfamiliar words from the PDF.
- Look up their meanings and try to use them in sentences.

6. Repeat the Process

- Consistently follow these steps with multiple articles to improve comprehension and vocabulary.

See you
Tomorrow
morning



R D F C

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